Insurance & Pensions Commission

01 June 2022

Circular 24 of 2022

To: All Pension and Provident Funds
Zimbabwe Association of Pension Funds (ZAPF)
Life Offices Association of Zimbabwe (LOA)
Insurance Brokers Association of Zimbabwe IBAZ
Pension Fund Administrators

PENSIONS FUNDS FINANCIAL REPORTING REQUIREMENTS

1. Following the adoption of International Financial Reporting Standards (IFRSs), the industry raised concern with regards to costs and benefits of adopting IFRS particularly the adoption of IAS 29 (Financial Reporting in Hyperinflationary Economies) coupled with the implementation of the Guidance Paper of Currency Reforms.
2. As a result, the Commission, through stakeholder consultations, is reviewing the reporting requirements and has come up with draft revised reporting requirements.
3. Please find the draft Guideline for your comments, which is accompanied by an annexure to this Circular that summarises the significant proposed changes.
4. May you kindly submit comments to the proposed changes by end of day 30 June 2022.

Yours sincerely,

R. Mtangadura (Mr)
ACTING COMMISSIONER OF INSURANCE, PENSIONS AND PROVIDENT FUNDS

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ANNEXURE

Summary of Significant Changes

1. **IAS 29 will longer mandatory**

The Guideline is silent on IAS 29 so that only pension funds with adequate resources to comply with IAS 29 will do so but those without can opt not to.

2. **Adoption of IAS 26 Accounting and Reporting by Retirement Benefit Plans**

2.1. Changes to Statement of Comprehensive Income

Statement of Comprehensive Income to be replaced by Statement of Changes in Net Assets Available for Benefits

Statement of Comprehensive Income (current)	**Statement of Changes in Net Assets (Proposal)**
Income	Income from Membership Activities
Less Expenses	Less Benefits and Payments
Surplus	**Net Membership Activities Income/loss**
	Investment Income
	Less Investment Expenses
	Net Investment Income / Loss
	Other Activities
	Less Other Expenses
	Net other income / loss
	Net increase / decrease in net assets during the year
	Add Net assets available for benefits at beginning of year
	Net assets available for benefits at end of year

2.1.1. The changes will assist to see if investments are making losses or draining assets, and if cumulatively, the net assets have increased or decreased. This additional information is useful to both the members and the Commission. What was regarded as surplus in the current template is not exactly the surplus when looking at pension funds because, for pensions, what is distributed is not the difference between income and expenses but the difference between net assets and non-actuarial liabilities.

2.2. Changes to Statement of Financial Position

Statement of Financial Position also known as Statement of Net Assets Available for Benefits

Current template	**Proposal**
Non-current assets	Non-current assets
Current investment assets	Current investment assets
Other current assets	Other current assets
Total Assets	**Total Assets**
Reserves	*less* Non actuarial liabilities
Non-current liabilities (also estimating amount of actuarial liabilities not due in the next 12 months	**Net Assets available for benefits at end of year**
Current liabilities (also estimating benefit payments due in next 12 months	Less Actuarial liabilities
Total reserves and liabilities	**Surplus / Deficit**

2.2.1. The new template introduces surplus in the Statement of Financial Position, which is the actual amount that is distributed to members.

If the member were to see a surplus in new template, they will know that most likely there will be an increase in member accumulation and/or bonus declaration when the actuarial report is then produced. Therefore, there will be a relationship between the financial statements and actuarial report in line with international best practice.

2.2.2. Net assets available for benefits in the Statement of Changes in Net Assets should match those in Statement of Net Assets Available for Benefits.

2.3. Changes to Cashflow Statement

2.3.1. Separated cashflow from membership activities from other cashflow activities, otherwise everything else remains the same.

2.4. Guidance Paper Requirements

2.4.1. The guideline requires apportionment of the income, expenses, assets and liabilities between the different sub accounts to align with the requirements of ring-fencing assets in the Guidance Paper so that the different sub accounts' activities can be analysed separately. The split can be done either on the face of the financial statements or in notes but given that there is still resistance to splitting its best it be done on the face of the financial statements. The members who only have interest in some and not all sub-accounts, when reading the financial statements, can see if their sub-account is performing well.